

# ProSupply Global

BUSINESS ANALYSIS REPORT | EXPANSION ANALYSIS

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# AGENDA

Introduction

2. Project Methodology

3. Key Findings & Insights

4. Discount Impact Analysis

5. Geographic Performance

6. Product Performance

7. SMART Recommendations

8. Q&A

# Introduction (Executive Summary)

## Business Overview:

- US-based wholesale company specializing in office supplies
- Current operations: Across 50 states in the US
- Period analyzed: 2014-2017

## Goal:

Expand into North America & Western Europe by Q4 2027

## Our Role:

Conduct profitability analysis and provide data-driven recommendations



# METHODOLOGY

## Data Analysis Process:

### 1. Data Collection & Cleaning

- Dataset: 9,994 orders across 4 years
- Removed duplicates, validated data integrity

### 2. Exploratory Data Analysis (EDA)

- Analyzed sales patterns, profit margins, discount impact
- Created calculated fields for deeper insights

### 3. Visualization & Dashboard Creation

- Built interactive Excel dashboard with KPIs
- Implemented slicers for dynamic filtering

### 4. Insight Generation

- Identified profitability drivers and pain points



# KEY FINDINGS

## Financial Performance

### Key Metrics (2014-2017):



Total Sales  
\$2.30M



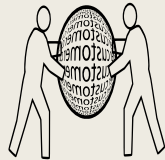
Total Profit  
\$286K



Profit Margin  
12.5%



Total Discount Given  
\$147K



Total Customers  
5,009



Total Orders  
37,873



Quantity Ordered  
37,873

- Current profit margin is below industry standard of 15-20%

# KEY FINDINGS

## Geographic Performance

### Regional Insights:

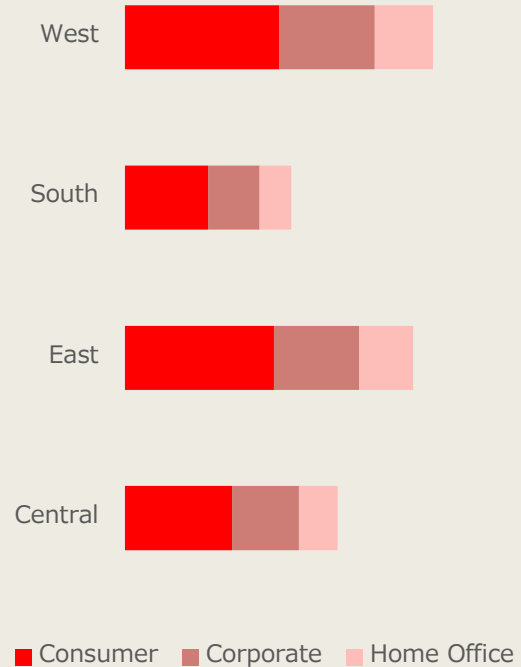
🏆 1 West Region: Highest revenue (\$725K)

🥈 2 East Region: Second highest (\$679K)

🥉 3 Central: Strong performer (\$501K)

⚠️ South: Lowest performer (\$392K)

Opportunity: South region needs strategic focus



# KEY FINDINGS

## Discount Impact Analysis



No Discount: 29.5% profit margin (\$321K profit)



1-10% Discount: 16.6% profit margin (\$9K profit)



10-20% Discount: 11.6% profit margin (\$92K profit)



21-30% Discount: -10% margin (LOST \$10K!)



Over 30% Discount: -48% margin (LOST \$125K!)

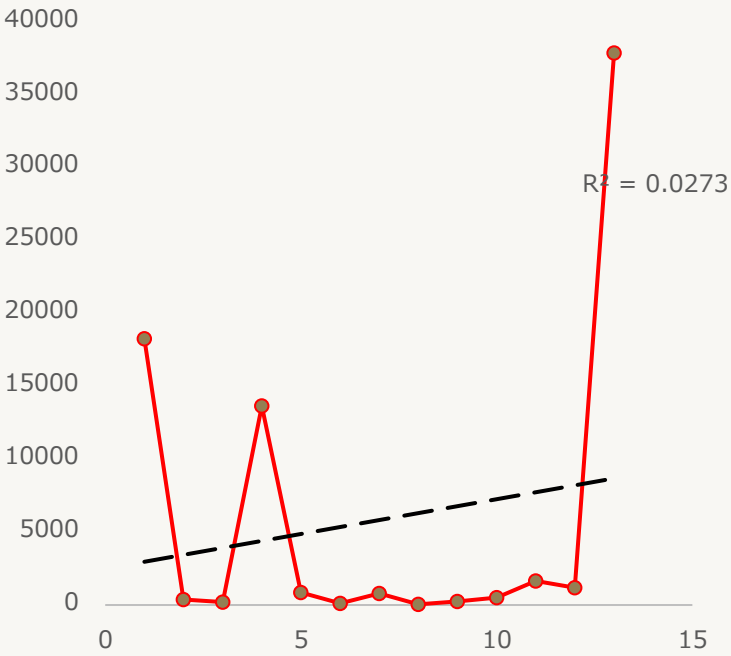


Total Profit Lost: \$135K (47% of potential profit!)

- Excessive Discounting is Destroying Profit!

# DISCOUNT RANGE PERFORMANCE MARTIX

| Discount | Sales   | Margin | Profit | Profit      |
|----------|---------|--------|--------|-------------|
| None     | \$1.09M | 29%    | \$321K | ✅ MAXIMIZE  |
| 1-10%    | \$54K   | 17%    | \$9K   | ⚠️ EVALUATE |
| 10-20%   | \$792K  | 12%    | \$92K  | ★ OPTIMIZE  |
| 21-30%   | \$103K  | -10%   | (10K)  | ❌ ELIMINATE |
| 30%+     | \$260K  | -48%   | (125K) | ❌ ELIMINATE |





# Before and After: Discount Policy Impact

## CURRENT STATE (2017)

### Discount Distribution:

- No Discount: 47%
- 1-10%: 2%
- 10-20%: 35%
- 21-30%: 5%
- Over 30%: 11%

Sales: \$2.30M

Profit: \$286K

Margin: 12.5%

Profit Lost: \$135K ❌

### Key Changes:

1. ❌ Eliminate 30%+ discounts → Save \$125K
2. ❌ Eliminate 21-30% discounts → Save \$10K
3. ❌ Eliminate 1-10% range → Redirect to 10-20% or none
4. ✅ Grow no-discount sales → Best margins (29%)
5. ✅ Optimize 10-20% usage → Volume + profitability sweet spot

Result: Same sales, 47% more profit! 💰

## PROPOSED STATE (2026)

### Discount Distribution:

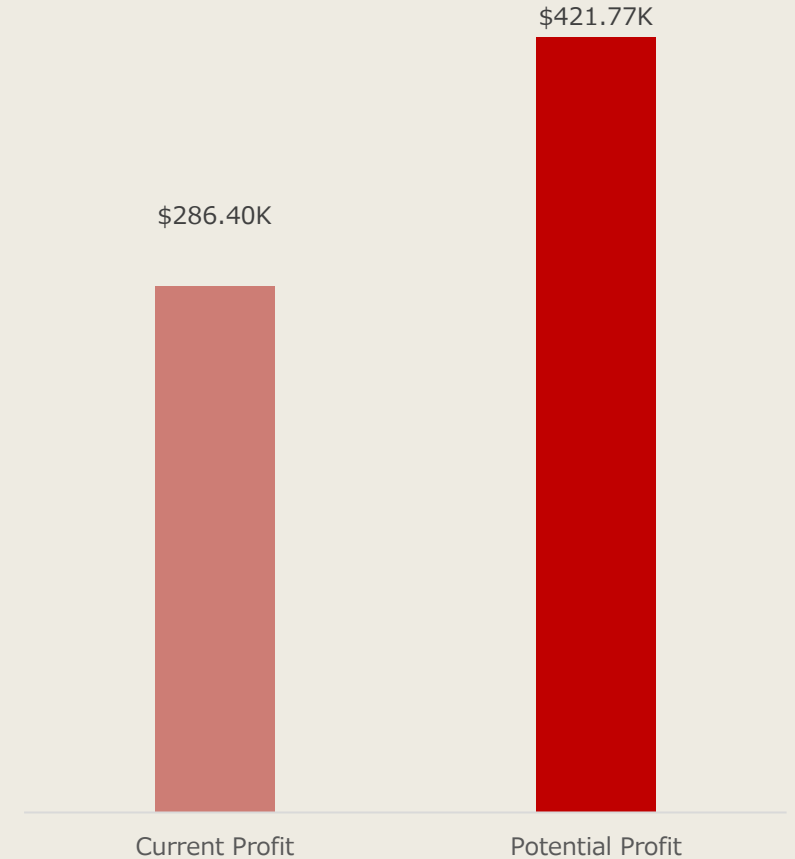
- No Discount: 50% ↑
- 1-10%: 0% (eliminated)
- 10-20%: 50% ↑
- 21-30%: 0% (eliminated)
- Over 30%: 0% (eliminated)

Sales: \$2.30M (maintained)

Profit: \$421K

Margin: 18%

Profit Lost: \$0 ✅

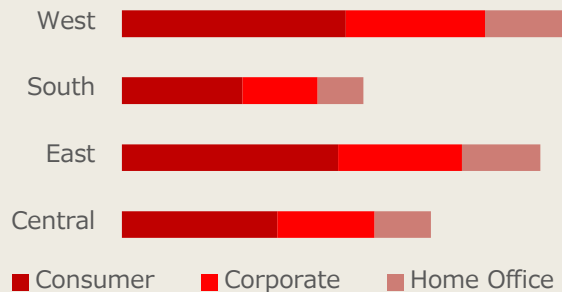
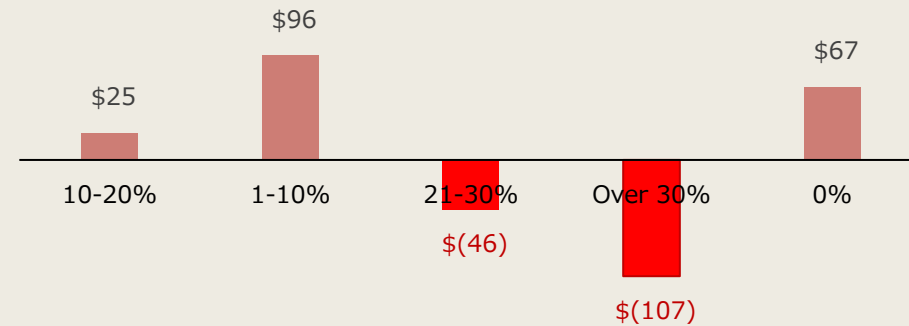


# RECOMMENDATIONS

## IMMEDIATE ACTIONS (0-6 MONTHS)

### 1. CAP DISCOUNTS AT 20% MAXIMUM

- Eliminate all discounts above 20%
- Recover \$135K in lost profits
- Policy change + sales team training
- Directly addresses 47% profit loss
- Implement within 3 months



### 2. STRENGTHEN SOUTH REGION PERFORMANCE

- Increase South region revenue by 25%
- From \$392K to \$490K annually
- Additional sales resources + marketing
- Close gap with other regions
- 6 months

# RECOMMENDATIONS (6-24 MONTHS)

## 3. OPTIMIZE PRODUCT MIX

- Focus on high-margin sub-categories
- Phase out consistently unprofitable products
- Target: Increase overall margin from 12.5% to 18%
- Timeline: 12 months

## 4. GEOGRAPHIC EXPANSION STRATEGY

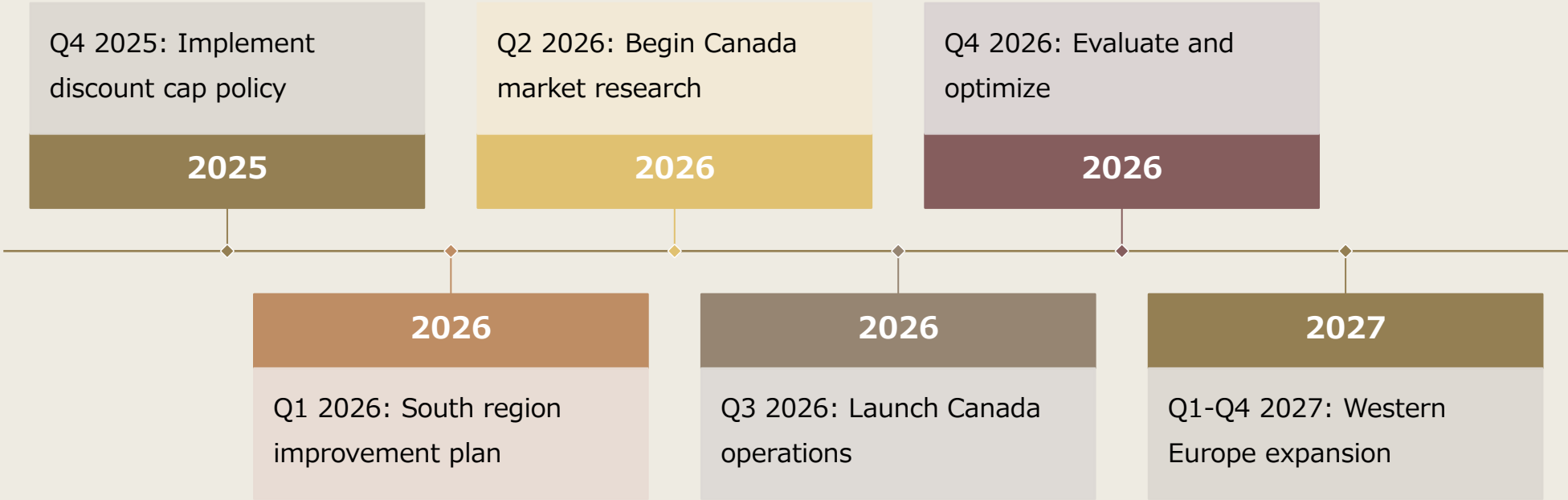
North America:

- Replicate West region's successful model
- Target Canada first (similar market, less risk)
- Q2-Q4 2026

### Western Europe:

- Partner with local distributors initially
- Focus on UK, Germany, France (largest markets)
- Q1-Q4 2027

# IMPLEMENTATION ROADMAP



## RISK ASSESSMENT

### ● CRITICAL RISKS:

#### 1. Data Recency (**HIGH RISK**)

- Using 2017 data for 2027 projections = 10-year gap
- Market dynamics have changed significantly

Mitigation: Update analysis with current data (2024-2025)

Pilot program in one market first to validate

#### 2. International Expansion (**HIGH RISK**)

- No prior experience in Canada/Europe
- Regulatory, cultural, currency challenges

Mitigation: Partner with local distributors

Phased approach: Canada (2026) → UK → Europe (2027)

### ● MODERATE RISKS:

#### 3. Discount Policy Changes (**MEDIUM RISK**)

- Customer pushback on eliminating 20%+ discounts

Mitigation: 6-month phase-in, grandfather existing contracts

#### 4. Economic Uncertainty (**MEDIUM RISK**)

- Recession, remote work trends, inflation

Mitigation: Build cash reserves, diversify products

#### 5. Competitive Pressure (**MEDIUM RISK**)

- Amazon Business, e-commerce growth

Mitigation: Focus on service quality & relationships

**QUESTIONS?**

